

# DAILY MARKET OVERVIEW

Friday, March 27, 2026 | Morning Edition

## 1. MARKET SNAPSHOT

| Index / Asset          | Yesterday's Close | Premarket / Notes                  |
|------------------------|-------------------|------------------------------------|
| S&P 500 (SPX)          | -1.74%            | 4th consecutive weekly loss        |
| Dow Jones (DJIA)       | -1.01%            | Rate fears + oil pressure          |
| Nasdaq Composite       | -2.38%            | Tech & memory stocks led decline   |
| Brent Crude Oil        | ~\$110 / bbl      | +1.8% premarket; Hormuz disruption |
| Gold                   | Declined          | +1.3% premarket recovery           |
| US 2-Yr Treasury Yield | ~4%+ (rising)     | Bond sell-off continues            |
| US Dollar (DXY)        | Little changed    | Safe-haven demand muted            |

**Premarket Note:** US stock futures showed a mild recovery after President Trump extended the deadline to strike Iranian energy infrastructure by 10 days amid ongoing negotiations with Tehran. However, the rebound faded as bonds remained under pressure and oil continued higher.

## 2. TOP MARKET-MOVING STORIES

### 1. IRAN WAR & OIL SHOCK — THE DOMINANT MACRO THEME

The US-Israel strikes on Iran (launched February 28) continue to reverberate through global markets. Brent crude has surged more than 40% from pre-war levels, now approaching \$110-\$120/barrel, nearing the all-time high of \$147 set in July 2008. The Strait of Hormuz disruption has taken ~10 million barrels/day offline — what the IEA calls the most severe energy shock since the 1970s oil crises. Trump's 10-day extension of the Iran strike deadline provided brief relief today, but uncertainty remains acute.

### 2. GOOGLE AI MODEL CRUSHES MEMORY STOCKS

Google unveiled a new AI model claiming it significantly reduces memory required for large language models. Shockwave through memory chip sector: **Sandisk (SNDK) -4%, Micron (MU) -2%, Western Digital (WDC) -2%, Seagate (STX) -2%.**

### 3. GOLD MINERS DECLINE

Gold and silver miners fell alongside precious metals: **First Majestic Silver (AG) -5%, Coeur Mining (CDE) -4%, Hecla Mining (HL) -4%, Newmont (NEM) -3%, Freeport-McMoRan (FCX) -3%.**

### 4. NVIDIA AT \$4.3 TRILLION — AI BULL INTACT

Nvidia reported record fiscal Q4 FY2026 revenues of \$68.1B (+73% YoY); Data Center segment: \$62.3B (+75% YoY). Average Wall Street price target: \$264.97. Q1 FY2027 guidance: ~\$78B. BofA forecasts global semiconductor sales to surpass \$1 trillion in 2026 (+30% YoY).

### 5. FED HOLDS — STAGFLATION RISK RISES

FOMC held rates at 3.5%-3.75% on March 18. "Dot plot" signals just one cut in 2026. Fed projects 2.7% PCE inflation and 2.4% GDP growth — stagflation risk elevated if oil stays elevated.

## 3. KEY ECONOMIC DATA — TODAY (March 27, 2026)

| Release | Prior / Consensus | Market Impact |
|---------|-------------------|---------------|
|---------|-------------------|---------------|

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|                                                    |                  |                                              |
|----------------------------------------------------|------------------|----------------------------------------------|
| Q4 2026 GDP — Third Estimate                       | Consensus: +2.4% | Miss = stagflation fear; Beat = market floor |
| Univ. of Michigan Consumer Sentiment (Final March) | Prior: 91.2      | Weak = discretionary sell-off accelerates    |

## 4. TECHNICAL LEVELS TO WATCH

| Index / Asset                          | Key Support                          | Key Resistance                          | Bias               |
|----------------------------------------|--------------------------------------|-----------------------------------------|--------------------|
| S&P 500 (SPX)<br>-7.4% off yearly high | 6,492 - 6,512<br>(CRITICAL)          | 6,650 - 6,700                           | Cautiously Bearish |
| Nasdaq Composite<br>near Fib support   | 23,712 - 23,907<br>(Fib + Aug close) | 24,200 - 24,500                         | Bearish            |
| Brent Crude Oil<br>Hormuz risk ongoing | \$100 - \$105                        | \$120 - \$125<br>(geopolitical ceiling) | Bullish (war risk) |

## 5. TODAY'S TRADING STRATEGY | SHORT-TERM (Today - 1 Week)

**THEME: Geopolitical Hedging + Sector Rotation Away from Tech / Memory**

| Ticker(s)                        | Action                  | Rationale                                                        | Notes                                                              |
|----------------------------------|-------------------------|------------------------------------------------------------------|--------------------------------------------------------------------|
| RTX, NOC<br>(Defense)            | BUY DIP<br>/ HOLD       | Direct beneficiaries of US-Iran war;<br>elevated defense budgets | RTX IV 31.6%: bull call spreads<br>NOC IV 32.1%: cash-secured puts |
| XOM, CVX<br>DVN<br>(Energy)      | SELECTIVE<br>LONG       | Brent \$110+; Hormuz risk<br>provides price floor                | Tight stops - peace deal<br>could trigger sharp reversal           |
| MU, SNDK<br>WDC, STX<br>(Memory) | AVOID /<br>WATCH SHORT  | Google AI reduces memory<br>demand outlook                       | Technical weakness likely<br>persists 1-2 more weeks               |
| NVDA<br>(AI / GPU)               | HOLD /<br>BUY DIPS      | Exceptional fundamentals;<br>\$68B quarterly revenue             | AI demand is structural;<br>dips are accumulation opps             |
| PANW<br>(Cybersecurity)          | OPTIONS<br>PLAY         | Geopolitical tension drives<br>cyber spending acceleration       | IV 37.3%: straddles into<br>earnings or directional calls          |
| TSM<br>(Semiconductor)           | LONG-TERM<br>BUY ON DIP | 62.3% gross margin; 58%<br>revenue from HPC / AI                 | Core long-term AI hold;<br>accumulate on weakness                  |

### WHAT TO AVOID TODAY:

- Gold / Silver Miners (AG, CDE, HL, NEM, FCX): Downtrend continuing; no clear catalyst to reverse.
- Rate-sensitive REITs and Utilities: Rising 2-year yields (4%+) are structural headwinds.
- Consumer Discretionary: Consumer Confidence at 91.2 and declining; high energy costs pressuring spending.

## 6. SHORT-TERM OUTLOOK | 1-4 Weeks

OVERALL BIAS: **Cautiously Bearish** — with tactical bounce potential on peace deal headlines

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### A) BULL CASE (30% probability)

Iran peace deal or ceasefire -> Oil drops sharply -> Relief rally. S&P; 500 reclaims 6,700+; Nasdaq bounces above 24,500. Strategy: Rotate long energy into peace, aggressively buy tech dips.

### B) BASE CASE (50% probability)

Geopolitical stalemate continues; Oil stays \$100-\$120; Markets range-bound to slightly lower. S&P; 500 tests 6,492 support repeatedly. GDP data today may provide temporary sentiment lift. Focus on defense, energy, AI.

### C) BEAR CASE (20% probability)

Iran escalation, Hormuz fully closed, oil spikes to \$130+; GDP miss confirms stagflation -> S&P; 500 breaks 6,492, targets 6,200-6,300. Action: Reduce equity exposure, raise cash, consider inverse ETFs (SH, PSQ).

## 7. LONG-TERM OUTLOOK | 3-12 Months

**Bottom-up Wall Street Consensus:** S&P; 500 target of **8,338** by March 2027 (+27% from current levels) — requires 16.3% earnings growth in 2026, assuming conflict resolution and oil normalization.

### 1. AI Infrastructure Supercycle

Nvidia, TSMC, Broadcom, AMD — secular growth story intact regardless of macro noise. Data center capex accelerating. Pullbacks are accumulation opportunities.

### 2. Defense Spending Boom

NATO expansion + US-Iran conflict = multi-year defense budget expansion globally. RTX, NOC, LMT, GD remain core long-term holds with strong earnings visibility.

### 3. Energy Transition Paradox

Short-term fossil fuel demand spiking due to war; long-term renewables buildout continues. Energy majors with diversified portfolios offer balanced exposure.

### 4. Fed Pivot (Eventually)

One rate cut projected for 2026. When it arrives, meaningful tailwind for growth equities and bonds. Stay short-duration until cut is confirmed.

## 8. WATCHLIST FOR NEXT WEEK

| Category      | Details                                                                            |
|---------------|------------------------------------------------------------------------------------|
| Earnings      | Monitor Q1 2026 early reporters — especially large-cap tech and energy names       |
| Economic Data | PCE Inflation (Fed preferred measure), ISM Manufacturing, Non-Farm Payrolls        |
| Geopolitical  | Any Iran deal headline moves markets 2-3% intraday — monitor White House briefings |
| Fed Speakers  | Watch for FOMC commentary on inflation tolerance given elevated oil prices         |

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